stock's price/earnings ratio yourself, using Graham's formula of current price divided by average earnings over the past three years.[3]

As of early 2003, how many stocks in the Standard & Poor's 500 index were valued at no more than 15 times their average earnings of 2000 through 2002? According to Morgan Stanley, a generous total of 185 companies passed Graham's test.

Moderate price-to-book ratio. Graham recommends a "ratio of price to assets" (or price-to-book-value ratio) of no more than 1.5. In recent years, an increasing proportion of the value of companies has come from intangible assets like franchises, brand names, and patents and trademarks. Since these factors (along with goodwill from acquisitions) are excluded from the standard definition of book value, most companies today are priced at higher price-to-book multiples than in Graham's day. According to Morgan Stanley, 123 of the companies in the S & P 500 (or one in four) are priced below 1.5 times book value. All told, 273 companies (or 55% of the index) have price-to-book ratios of less than 2.5.

What about Graham's suggestion that you multiply the P/E ratio by the price-to-book ratio and see whether the resulting number is below 22.5? Based on data from Morgan Stanley, at least 142 stocks in the S & P 500 could pass that test as of early 2003, including Dana Corp., Electronic Data Systems, Sun Microsystems, and Washington Mutual. So Graham's "blended multiplier" still works as an initial screen to identify reasonably-priced stocks.

Due Diligence

No matter how defensive an investor you are—in Graham's sense of wishing to minimize the work you put into picking stocks—there are a couple of steps you cannot afford to skip:

Do your homework. Through the EDGAR database at www.sec. gov, you get instant access to a company's annual and quarterly reports, along with the proxy statement that discloses the managers' compensation, ownership, and potential conflicts of interest. Read at least five years' worth.[4]